Executives
Alfred Penny - President of Bimbo Bakeries USA Inc
Daniel Javier Servitje Montull - Chairman, CEO & Member of Advisory Board

Analysts
Alexander Reid Robarts - Managing Director and Head of Latin American Consumer Staples Equity Research Team
Diego Mejía Cárdenas -
José Juan Yordán - Research Analyst
Lillian Starke - Research Associate
Luca Cipiccia - Research Analyst
Mauricio Serna Vega - Research Analyst
Miguel Mayorga -
Pedro Leduc - Senior Analyst

Presentation

Operator
Good morning, everyone, and welcome to Grupo Bimbo's First Quarter Results Conference Call. If you need a copy of the press release issued yesterday, it is available on the company's website at www.grupobimbo.com.

Before we begin, I would like to remind you that this call is being recorded and that information discussed today may include forward-looking statements regarding the company's financial and operating performance. All projections are subject to risks and uncertainties, and actual results may differ materially. Please refer to the detailed note in the company's press release regarding forward-looking statements.

I will now turn the call over to Mr. Daniel Servitje, Chairman and Chief Executive Officer of Grupo Bimbo. Please go ahead, sir.

Daniel Javier Servitje Montull
Good morning, everyone, and thank you for joining us today. As usual, we will review the key highlights from the quarter and discuss our performance, strategy and outlook in the context of current market dynamics.

I am joined here by several members of our finance and management team and we will be happy to take any questions you have at the end. Before I begin with a discussion of the quarter, I would like to take advantage of the opportunity of today's call, to make some comments on some changes in the Investor Relations team, that has been further strengthened. Azul Argüelles who continues to be head of Investor Relations handling the day-to-day activities. And Roberto Servitje will now be responsible for the 2 departments: the Treasury and Investors Relations office. [indiscernible] will be working directly with us on all of the IR activities. To start, I will say that this was a mixed quarter for Grupo Bimbo. On one hand, we had challenging headwinds and tough comparables in our 2 largest markets, while at the same time

we saw solid improvements in our other operations.

Looking at performance by region, starting in Mexico, we registered softer sales in our domestic market. On top of Bimbo's performance and private consumption across the Board and a more cautious consumer base, top industry dynamics and pricing actions implemented in the past few months, led to a decline of 6% on our volumes. In our case, these reflect the impact of a new special tax known as YET, which impacted part of our portfolio within certain categories such as snacks, confectionery, cookies, and sweet baked goods.

On the operating side, despite lower average raw material cost that boost gross margin performance, weak volumes meant that fixed cost such as distribution were not fully absorbed, resulting in a 30% -- 30 basis point decline in the operating margin.

Also, we continue implementing a number of efforts focused on recovering volumes in the remainder of the year. Such as strengthening our innovation initiative, and new product launches and boosting consumer facing marketing efforts with targeted promotional activity and an advertising campaign designed to take advantage of the upcoming World Cup Summer Soccer event. We will also be targeting specific savings, all across the supply chain to help drive profitability.

Moving on to the United States. Sales rose 1% in pesos, while declined 3% in dollar terms. The impact California saw in these divestments to Flowers Foods accounted for the majority of the Q-on-Q differential about 2%. We also cycling through the impact of the wholesale exit and now they're reentering an increase competition of some of those brands.

Furthermore, the exceptionally cold winter also impacted consumption in the quarter across categories, with many of our good customers. Notwithstanding, we're seeing growth in categories, such as premium bread, breakfast and sweet baked goods.

Operating performance was difficult, because of the aforementioned California divestiture, and a near doubling of restructuring expenses this quarter, which more than offset lower average raw material costs and the benefits of synergy and wage reduction initiatives. I should point out restructuring expenses were at the their budgeted peak for the year. So you should expect sequential improvements on that front.

Let me elaborate on the 3 key components of these restructuring expenses, which are associated with integration thoroughly and transformational efforts to drive productivity across our operations.

First, our asset strategy. We were -- where we are on track having closed 5 bakeries year-to-date, and announced 2 more, while opening our newest bakery in Pennsylvania, serving the Northeast market.

Two, in terms of distribution we continue to make progress on having lower cost distribution centers, and we're undertaking significant ground [ph] restructuring expenses across all the BBU regions and therefore, that is expected to continue to meet 2015. And lastly, the inclination and implementation of our IT system.

Additionally, on the product side, we continue to offer value and differentiated products to consumers.

Moving on to Latin America. Sales rose in every country in the region in both local currencies and in peso

terms. This is particularly note worthy, even this still challenging economic environment in many of the proposed markets. But our focus remains on strengthening our product portfolio and production platform, improving distribution and optimizing SG&A.

As a result, we were able to take gross margin expansion coming from lower raw material costs and generate even greater improvement at the operating level. In fact, we cut our operating loss in the region by almost 80%. And so a 3.5 percentage point recovery in the margin.

Lastly, looking at Iberia, I'm pleased to report continuous progress in that operation. Despite the ongoing recession in that market. Sales were up 19% in peso terms and 10% in euros. On the back of new product launches, successful brand differentiation, and solid execution at the point-of-sale.

That was good progress too at the operating level, with an almost 25% reduction in losses for the period and a 2.9% point improvement in the margin. In terms of our consolidated financial position, the total debt-to-EBITDA ratio was 2.2x, which reflects our commitment and ability to once again rapidly de-lever. This ratio will change with the Canada Bread transactions likely to around 3x total debt-to-EBITDA. Our experience in the last few years, and over the past several acquisitions, has shown us that leverage ratio in that range are both reasonable and manageable; and all the more so in light of the scale and accretive nature of the Canada Bread acquisition, which we expect to close during this quarter.

Looking at our performance, for the remainder of the year. We anticipate results in the United States will gradually reflect ongoing integration synergies and the benefit of greater distribution and supply-chain efficiencies. We also expect to see continued improvements in Latin America, as our restructuring efforts stay cold, and further grow -- and further grow and better provide ability in Iberia, as that business advances. I don't want to understate the challenges, including the fiscal changes in Mexico. But we're confident the aforementioned measures will support growth and profitability over the long term. At this point, I have concluded my remarks this morning. So we are ready for the questions and answer session.

Question and Answer

Operator
[Operator Instructions] The first question will come from Diego Mejía of HSBC.

Diego Mejía Cárdenas
First question is regarding your next move in this environment. If you guys could comment on your expectations regarding the second quarter, if you see any sort of improvement in consumption behavior? If customers are accepting the price increases a little bit better? Any comments that you can share on that regard. And the second question would be in the U.S., if you can give us a number regarding restructuring expenses planed for the year? That would be very helpful.

Daniel Javier Servitje Montull
Yes. I'll answer the first question, and I will refer the second one to our friends from BBU. On the Mexican side, let me tell you that -- that we're still not seeing a big change in the consumer move. We're hopeful that in the second semester, we'll see much improved environment. But, we are working hard on all fronts on the promotional activities, advertising, new product launches. But, it's still -- the economy is still not at its best.

Alfred Penny
With regarding restructuring expenses, in BBU for the year, we anticipate a little more than $100 million, which is consistent with our prior year experience. And it is really more skewed towards the first half of the year.

Operator
Our next question will come from Miguel Mayorga of GBM.

Miguel Mayorga
Just to clarify, as a follow-up of the first question, the $100 million of BBU are for the full year including the expenses that we saw in each quarter? And secondly I would like to know, if you're expecting on that consolidated events base and kind of vanity [ph] related to current wheat prices?

Daniel Javier Servitje Montull
The first question, yes, it is a full-year estimate. With relation to the commodity prices, our hedged strategies be within over 4 to 9 months. And we do see some favorability -- some minor favorability in the back half of the year, that's it.

Operator
The next question will come from José Yordán of Deutsche Bank.

José Juan Yordán
My question was also about the restructuring costs. And I guess, my second quarter clarification would be, when does it end or when does it become, let's say, a nonmeaningful number under $5 million per quarter, I mean is 2014 the end of it? Or are there budgeted restructurings going into 2015?

Daniel Javier Servitje Montull
On general terms, on the U.S. side, as we stated from the beginning, we saw it as a multi-year integration effort. As you might recall, we announced that we were willing to commit to invest over $1 billion in 4 years. And we're sticking to that plan. We're revamping our infrastructure on manufacturing footprint. And in the first stages of this integration plan, we had to work more on building that the blocks, so that we could generate the synergies for the long run. And the building blocks in this case, have to do a lot with our IT infrastructure. And we now are able to be on the same IT platform. We are now able to transfer products from one system of plants, the BBU plant to the Sara Lee plant, and have one IT network linked with our distribution centers on our IT route systems, that enabled us to affect closing that plant and shifting product volumes from one plant to the other. So it has been a complex effort and it's now in the process of speeding up, the sort of the later part of the integration plan, which included consolidating or manufacturing footprint. And along the way, we are also putting up a new more efficient lines, and plans in place. So that's part of the process that is now getting to be unfolded. We still have plans in that regard on the manufacturing side. But we are also now moving to the, I would say, the last leg of integration, which refers to the route restructuring. That will enable us to also get more synergies on that end; and that means, really having the optimal distribution network at each market, at each city and combining the different structures that came with the integrations into 1. And that's a significant work. And that's the part that will remain until the middle of the next year, but obviously, as the manufacturing work lowers its space, the cost will not be as significant on the distribution side, as they are on the manufacturing part.

José Juan Yordán

Okay that sounds good. And I guess, now that the entire project has developed and new opportunities, I guess, have been captured from the original plan et cetera, what's the sort of official number of synergies -- on the day this integration is over, what are the annual savings from the integration of Sara Lee? I think you had started from a range of $150 million to $200 million, but that number has been taken up to, if I'm not mistaken $230 million or $240 million. Is that still where we are? I mean, what's -- just want to get clarity on what the final number is once, you went through the entire process?

Daniel Javier Servitje Montull
Yes. As we see it right now, we're focusing on $220 million of synergies. And that's a -- that's our goal. And we think that, we will be able to capture the benefits of that one.

Operator
The next question will come from Lillian Starke of Morgan Stanley.

Lillian Starke
I would like to ask on the Latin American operations, there was a significant improvement, both year-on-year and quarter-on-quarter on EBITDA and operating income. I was just wondering, how sustainable is this and if this is a new level of -- for visibility that we can expect going forward in the year?

Daniel Javier Servitje Montull
Let me tell you that we saw this improvement in, basically, in all the different regions in Latin America. And even though Brazil, we still have work to do, there were also improvements in that business as well. And we're confident that our strategies, our working in building strong basis in the region are starting to pay-off. We hope to have a consistent improvement in the rest of the quarters. And we will still be investing in building our businesses in the long run, as we're just in the early stages of what our business could be in those markets. But all-in-all, we're happy with the progress that we are making and we expect that these improvements can be sustained in the next quarters.

Operator
The next question will come from Pedro Leduc of JP Morgan.

Pedro Leduc
Regarding the Mexican operations, could you guys help us reconcile little bit of the dynamics here? I mean we saw flat revenues, but on the other hand, gross margins expanded 300 basis points, which is quite expressive. And so couldn't you guys, maybe looking forward, fine tune this margin base to maybe pickup a little bit of volume growth, or how should we see the Mexican operations evolve this year? You guys are more oriented to protecting profitability or market share or how should we think about this balance, please?

Daniel Javier Servitje Montull
It's a juggling act, and certainly we want to work on both fronts. We had a favorable commodity scenario. And we took advantage of that. So that's the reason for our improvement. On the other side, we also have fixed costs, that if we have lower volumes, that -- they effect us on the impact on profitability. So all-in-all, we're pushing us to be more aggressive on growing the sales and still tighten our belt to maintain our margins. It's still too early in the game, and we need to understand better how the growth of economy is going to happen in the next quarters. As we all know and all companies suffer in Mexico, there is a lag in perceptions of what the economy should be growing and what is growing. And that's the

part that we're still trying to understand. And there are plans in place, as we mentioned, to pick up the pace in gaining again some of the lost revenue, lost volume.

Pedro Leduc
And one more follow-up still on Mexico. How did -- could you guys comment on how like Fresh Bakeries and these players reacted to the tax increase? If they increase prices like you or less? And so...

Daniel Javier Servitje Montull
In general terms, most of the in-store bakeries and artisan bakeries did increase prices to pass through the year. And -- but as you know, our products are basically, products that are sold in low denominations. And you have to round up the number; especially, when you're selling to -- at retail ends. I mean all-in-all, I would say that impact was passed through to the consumer.

Operator
The next question will come from Luca Cipiccia of Goldman Sachs.

Luca Cipiccia
A follow-up on the performance in Mexico, as well as the outlook for the rest of year. Just to understand, if you could have elaborate a bit more on the -- what type of strategy, what type of measures are you trying adopt to make sure that consumers can adjust to the new prices and new taxes? You refer to innovation. I was wondering, if this relates more to lowering caloric content, are you looking at reduced packages? What's the type of -- if you can show some of the calls or some of the strategy on, specifically, what could be measures that you may adopt to recuperate or revamp volumes in spite of the price increases?

Daniel Javier Servitje Montull
Sure. What we have in place right now it's -- I would say it's 3-pronged strategy. One is focused on having alternatives for some of our sweet baked products and snacks, with lower calorie -- I mean, with lower quantities in the package, smaller sizes. And more affordable prices. So that's one.

Then we're also having some items on promotional discounts. Say larger, higher volume and a reduced price, and for the higher volume sold. And we also have a new initiatives for I would say, more advertising and new product offerings. The new product offerings range in, I would say, in the wide different array of ideas, from I would say the healthier-for-you varieties, the some indulgent products. Though, it's a matter I would say of taking care of all the consumer needs, that we're finding.

Operator
The next question will come from Mauricio Serna of Santander.

Mauricio Serna Vega
I just wanted to know a little bit more about the timeline on the Canada Bread acquisition. Like when do you expect to the transactions to be approved and when would you start consolidating? And also if I may, a little bit more on the Mexican operations. I know you said it's too early in the game, you need to understand how is our consumer going to react. But if you could tell us maybe, what are you expecting for overall year-over-year volumes?

Daniel Javier Servitje Montull

Yes. As we mentioned, that we expect to close this transaction during this quarter. And we have been receiving authorization on many of the agencies. And we still have 1 pending. And as well as this is authorized we will have, I believe, 5 days to close the transaction. And we're working on that, and we don't foresee any problems for doing it. On the volumes, we don't -- we cannot give you an idea to what's going to be the end of it. We -- obviously, our Mexican operations are working hard on doing their best to recover the volume losses. But as you can expect, a significant change for the consumer and everybody is trying to also offer their best solution for consumer, that is significantly constrained in its disposable income.

Operator
The next question will come from Alex Robarts of Citi.

Alexander Reid Robarts
2 questions and just the first one is on the restructuring cost. Sorry to kind of go back there. But I mean the visibility -- at least I feel, is still very, very low. We kind of went back and just looked at some of the plant closures and announcements and such. And I guess, I just wanted to understand, so if we think about the MXN 590 million, right? That came in the quarter related to the United States, is it fair to associate, though, that amount with the Nashville, the Wichita and the Sioux City plant closures? Because as we understand those were the 3 that were closed or at least announced that they were being closed. And then Bay Shore in New York, I guess, is July. But if you could get a sense that kind of is the MXN 590 million related to these 3 plants? Or as you've mentioned in your earlier remarks, it sounded like there is some group restructuring elements that also contributed. So it'd be just be helpful to kind of give us a little bit more color around the sources, and the connection with these plant closures? That would be great, that's the first question.

Daniel Javier Servitje Montull
Steve, I can take that, if you'd like.

Alfred Penny
No I can take. Alex, It's Fred Penny. More specifically on the plants, the charge in the quarter, included restructuring charges for 5 bakeries, Oakland, Sioux City, Easton, Nashville and Wichita; so 5 bakeries, plus I believe 3 additional lines that were in other facilities. The Bay Shore announcement was not in the first quarter results. So that's required by the how the bakeries sell. And then, obviously, Daniel mentioned earlier, there was a -- were undergoing a fairly significant amount of route restructuring work that will continue through the year. And that is another significant element -- significant part of the first quarter.

Alexander Reid Robarts
Okay, okay that's helpful. And so -- but if we understand this, it sounds like through the year plant specific closure related elements will dissipate, while the route restructuring elements will increase. And for the full year, is it safe to assume, I mean, that you'll end up, below what seemed to be our number of $2 billion in 2013? And can we, maybe, use that as maybe the high watermark? And this year total restructuring in the U.S. -- I'm sorry $2 billion was actually full with Mexico and the U.S. But is there a way that we can kind of think about this going forward in the next 9 months? I mean is this first quarter maybe, the peak? Or any color around that would be helpful.

Daniel Javier Servitje Montull

Sure. I think we mentioned earlier $45 million in the quarter and I believe Steve referred to $100 million -- in the range of $100 million for the year, If I'm correct. So, I would say that the first quarter would therefore be the largest single quarter of restructuring for the 2014.

Alfred Penny
And if I can add to your point, in the first quarter about 65% of the restructuring charges were asset strategy related to plant closures. The remainder is the route integration, distribution integration in IT type, 1x cost. And to your point, Alex, this is the peak for the year. And it will define, however, the integration on the route restructuring. The route restructuring is -- I wouldn't say it's at an increase. It's going to maintain at the level where it's at, which is about 15% of the charges in the quarter.

Alexander Reid Robarts
That's very helpful indeed. The second question just really relates more to how you're looking at -- and I think you touched on this earlier, but how you're looking at just the industry in the U.S. You've talked about and highlighted several points last year about, the breakfast consumption occasions really have been -- or really was kind of a driver for bread volume. What might be your sense of industry volume growth this year versus last year? Kind of acceleration stable, deceleration, and how do you kind of think about BBU in that context? I mean, is share gain possible, is it really trying to stabilize the share and maybe just work on profitability? It would be great if you could give us a sense, now that we're kind of looking at May, how you feel like the year can evolve?

Daniel Javier Servitje Montull
Alex, I'll take that one. The first thing I would say is that the commercial bread category, if you look at IRI as a measure on our current basis, is relatively flat, maybe slightly down depending on the region I kind of refer to that in the past that had those depending on the market we look at, so it's relatively flat. I believe there are volume growth and share opportunities for us, continuing in breakfast. We have a very strong brand there, as you know, with Thomas. There are volume growth opportunities sweet goods segment, with not only the Entenmann's business, but with the newly launched last year Sara Lee cake line. And our Hispanic portfolio of Bimbo in Marinela. And I think there are volume opportunities through innovation in what's called the more specialty breads. The main stream category is competitive, and certainly has gotten more competitive, as the Hostess -- formally Hostess franchise reemerge. And so I think we believe that what's important for us to do, is to be to get our -- work on our cost, get our cost down; move aggressively to all of this major restructuring work that we have and so that we'll be able to compete effectively in what is a competitive bread category.

Alexander Reid Robarts
Very helpful note, that was clear. Mainstream do you think then just as a category in the U.S., might it show kind of in line growth to last year, do you reckon? Or..

Daniel Javier Servitje Montull
Yes, I think it's that's a tough one to call. I could just, I will refer you simply to what's the IRI data, shared data shows or the category data shows. And it's, generally, been flattish to slightly down if you go back a few years. And I think that's a challenge that the industry has, not just us. Obviously, we would want that category to be growing.

Operator

Ladies and gentlemen, this will conclude our question-and-answer session. I would like to turn the conference back over to management for their closing remarks.

Daniel Javier Servitje Montull
Well, thank you, all, for your time today. And as always, please do not hesitate to contact us with any further comments or questions you may have. And we look forward to speaking with you soon. Thank you very much.

Operator
Ladies and gentlemen, the conference has now concluded. We thank you for attending today's presentation. You may now disconnect your lines.

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